

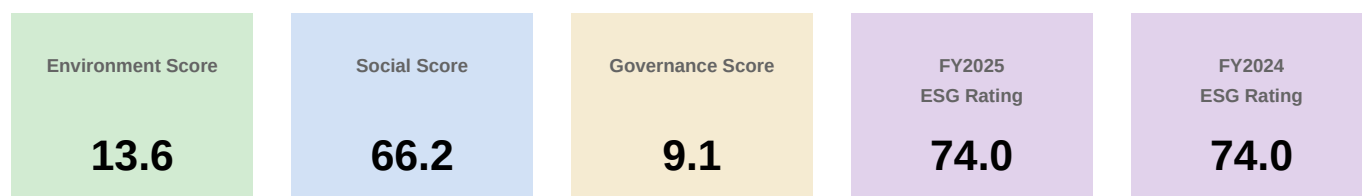
Executive Summary

Environment, Social, and Governance (ESG) factors are increasingly shaping investor decisions, with companies expected to demonstrate not only financial performance but also responsible business conduct. ESG ratings serve as a lens into a company's strategic priorities, operational integrity, and long-term value creation. For this entity, these ratings reflect its evolving commitment to sustainability across climate action, workforce development, and governance oversight.

Mahindra & Mahindra Limited, operating under the ticker BANKNIFTY1, is one of India's premier diversified manufacturing and marketing companies with a significant global footprint. Established in 1945, the company has built a strong reputation across various sectors including automotive, agribusiness, aerospace, and defense. Their operations span multiple continents, with a notable presence in Africa, the Middle East, Southeast Asia, and Latin America. The company's core business model focuses on providing innovative and sustainable solutions in these diverse sectors. With a workforce of over 75,000 employees, Mahindra & Mahindra has demonstrated resilience and adaptability, particularly in the face of global economic challenges. Their commitment to quality, safety, and environmental stewardship is embedded in their corporate philosophy, aligning with their long-term vision for sustainable growth and responsible business practices.

As part of the ESG assessment, NSE Sustainability Ratings and Analytics Limited (NSRAL) evaluated the performance across key ESG dimensions including climate change, human rights, diversity, anti-corruption, stakeholder engagement amongst others. The methodology is rooted in materiality, transparency, and sector-specific relevance, combining both quantitative and qualitative indicators sourced from public disclosures and credible third-party reports.

Mahindra & Mahindra Limited (BANKNIFTY1) maintains a commendable total ESG score of 74.0, positioning it favorably within the competitive landscape of the manufacturing and diversified sectors. This score reflects a strong emphasis on social responsibility, as evidenced by the Social sub-score of 66.2, which significantly outperforms the industry average. The Environmental sub-score of 13.6 and Governance sub-score of 9.1 indicate areas for improvement, though the company demonstrates a solid commitment in these domains. The overall ESG performance of BANKNIFTY1 aligns with its reputation for sustainable business practices and long-term value creation. The company's focus on employee welfare, as highlighted by the Social metrics, underscores its dedication to fostering an inclusive and supportive work environment. This commitment to social drivers is a key narrative in the company's ESG profile, providing a foundation for future growth and stakeholder trust.



Rating Category : Leader

The Environmental sub-score for Mahindra & Mahindra Limited (BANKNIFTY1) stands at 13.6, indicating a need for enhanced environmental management and performance. The absence of top environmental drivers suggests that the company has not prioritized significant environmental metrics in its current strategy. However, given the company's global operations and diverse manufacturing activities, there is substantial potential to improve environmental outcomes. The company must address key areas such as carbon emissions, water management, waste reduction, and biodiversity conservation to elevate its environmental standing. Initiatives such as renewable energy adoption, sustainable supply chain management, and circular economy practices could significantly boost the Environmental sub-score. The current metrics do not reflect substantial progress in these areas, which must be addressed to align with global ESG standards and stakeholder expectations.

The Social sub-score of 66.2 for Mahindra & Mahindra Limited (BANKNIFTY1) demonstrates a strong commitment to social responsibility, particularly in areas related to employee welfare and diversity. The company excels in several key metrics, including the inclusion of differently abled employees and maintaining low turnover rates among female permanent employees. The percentage of differently abled employees among male permanent workers and the total count of differently abled employees (both male and female) are at par with industry benchmarks, signaling a proactive approach to inclusivity. The turnover rate for female permanent employees is notably low, reflecting effective talent retention strategies. These metrics highlight the company's dedication to creating an equitable and supportive workplace culture. This focus on social drivers not only enhances employee morale and productivity but also strengthens the company's brand reputation and attracts a diverse talent pool. The Social sub-score underscores the importance of human capital in driving sustainable business growth.

The Governance sub-score for Mahindra & Mahindra Limited (BANKNIFTY1) is a modest 9.1, indicating a need for further improvements in corporate governance practices. The absence of top governance drivers suggests that the company has not prioritized certain governance metrics in its current framework. Governance encompasses a wide range of practices, including board independence, shareholder rights, executive compensation, and ethical business conduct. The company must focus on strengthening board oversight, enhancing transparency, and implementing robust risk management systems. Additionally, the company should review its stakeholder engagement practices and ensure compliance with regulatory requirements. Improving governance structures will not only elevate the Governance sub-score but also enhance stakeholder confidence and long-term value creation.

Overall, Mahindra & Mahindra Limited's performance reflects its structured and policy-driven approach to sustainability, with opportunities for focused improvements to further elevate its performance.